

Agenda Item 2-E

Category 2 Items: IESBA NOCLAR Exposure Draft vs. the IAASB's International Standards

Note to IAASB: This document compares the IESBA NOCLAR Exposure Draft (ED) with related material from the IAASB's International Standards to highlight additional guidance material in the IESBA ED that might be considered helpful if added to ISA 250, or other International Standards, but, in the Working Group's view is not considered of sufficient importance to warrant inclusion in the ED as proposed amendments. See also paragraph 11(b) of Agenda Item 2-A

Comparative Analysis: IESBA NOCLAR Exposure Draft vs. Extant ISA 250

IESBA NOCLAR Exposure Draft	ISA 250	Staff Preliminary Comments
225.15 The appropriate level of management with whom to discuss the matter is a question of professional judgment. Relevant factors to consider include: • The nature and circumstances of the matter. • The individuals actually or potentially involved. • The likelihood of collusion. • The potential consequences of the matter. • Whether that level of management is able to investigate the matter and take appropriate action.		Considered helpful but not essential. See paragraph 11(b) of Agenda Item 2-A. No change recommended.
225.16 The appropriate level of management is generally at least one level above the person or persons involved or potentially involved in the matter. ...		Considered helpful but not essential. See paragraph 11(b) of Agenda Item 2-A.

IESBA NOCLAR Exposure Draft	ISA 250	Staff Preliminary Comments
		No change recommended.
... The professional accountant may also consider discussing the matter with internal auditors, where applicable. In the context of a group, the appropriate level may be management at an entity that controls the client.		Considered helpful but not essential. See paragraph 11(b) of Agenda Item 2-A. No change recommended.
<i>Addressing the Matter with Management and Those Charged with Governance</i> 225.17 If management and, where appropriate, those charged with governance agree that non-compliance has occurred or may occur, the professional accountant shall prompt them to take appropriate and timely actions, if they have not already done so, to: (a) Rectify, remediate or mitigate the consequences of the non-compliance; (b) Deter the commission of the non-compliance where it has not yet occurred; or (c) Disclose the matter to an appropriate authority where required by law or regulation or where considered necessary in the public interest.	—	Considered helpful but not essential. See paragraph 11(b) of Agenda Item 2-A. No change recommended.
225.18 The professional accountant shall consider whether the client's management and those charged with governance understand their legal or regulatory responsibilities with respect to the	—	Considered helpful but not essential. See paragraph 11(b) of Agenda Item 2-A.

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matter. If not, the professional accountant may suggest appropriate sources of information or recommend that they obtain legal advice.		No change recommended.
225.19 The professional accountant shall comply with applicable: (a) Laws and regulations, including legal or regulatory provisions governing the reporting of non-compliance or suspected non-compliance with laws and regulations to an appropriate authority. In this regard, some laws and regulations may stipulate a period within which reports are to be made; and (b) Requirements under professional standards, including those relating to: • Communication with those charged with governance. • Communication with the group engagement team in the case of a group audit. • Consideration of the implications of the matter for the auditor's report, including disclosure in the report.	–	Considered helpful but not essential. See paragraph 11(b) of Agenda Item 2-A. No change recommended.